CAPITAL IMPROVEMENT PLAN

Gatewood Apartments | Aurora, CO

Property	Gatewood Apartments
Plan Date	April 11, 2021
Prepared For	Whitfield Park Capital
Total Plan Budget	$229,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg D	Site	12/30/25	Q2 2025	$743,000	$662,510	In progress
Storefront glazing	Interior	01/04/23	Q4 2027	$421,000	$106,524	Bidding
Sewer line repair	Site	12/17/26	Q2 2026	$852,000	$333,574	Deferred
Door hardware	Interior	09/14/23	Q4 2025	$596,000	$192,069	Approved
Roof replacement - Bldg C	Site	10/05/23	Q3 2026	$233,000	$105,554	In progress
Elevator modernization	Building	10/20/25	Q3 2026	$894,000	$227,229	Bidding
Landscape / irrigation	Energy	03/23/25	Q1 2027	$63,000	$56,039	Approved
Landscape / irrigation	Interior	02/25/26	Q4 2025	$319,000	$311,730	Approved
Landscape / irrigation	Life Safety	08/28/25	Q4 2027	$518,000	$67,326	Bidding
Signage / monument	Building	03/04/24	Q3 2026	$665,000	$205,672	Approved
Amenity renovation	Energy	05/27/24	Q3 2026	$129,000	$27,989	Deferred
Amenity renovation	Site	01/22/23	Q4 2025	$803,000	$300,522	Deferred
LED lighting retrofit	Life Safety	12/01/25	Q4 2027	$815,000	$663,583	In progress
HVAC replacement	Interior	02/04/24	Q1 2025	$441,000	$320,328	In progress
Unit interior upgrades	Life Safety	03/13/23	Q1 2026	$785,000	$756,349	Approved
Unit interior upgrades	Building	02/03/24	Q3 2025	$506,000	$461,117	Complete
ADA compliance	Life Safety	03/29/23	Q3 2027	$150,000	$7,282	Approved
Pool resurfacing	Site	10/10/25	Q3 2026	$635,000	$133,724	Approved
Water heater replacement	Site	06/18/24	Q2 2027	$471,000	$448,413	Complete
Security camera upgrade	Life Safety	07/30/26	Q2 2025	$462,000	$292,453	Complete
Pool resurfacing	Energy	10/18/26	Q2 2025	$535,000	$484,549	Deferred
Amenity renovation	Building	08/24/23	Q2 2026	$785,000	$276,885	Deferred
Fire alarm panel upgrade	Life Safety	03/04/23	Q1 2026	$230,000	$156,795	In progress
Lobby renovation	Energy	01/07/24	Q2 2025	$622,000	$391,716	Complete

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Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Site	09/17/23	Q4 2025	$186,000	$159,154	Complete
Elevator modernization	Building	07/19/23	Q3 2026	$630,000	$522,752	In progress
HVAC replacement	Interior	02/05/26	Q1 2025	$736,000	$239,293	Bidding
Landscape / irrigation	Site	12/19/25	Q4 2025	$539,000	$6,568	Deferred
Fire alarm panel upgrade	Life Safety	06/26/24	Q2 2025	$109,000	$36,282	Approved
Landscape / irrigation	Building	06/01/26	Q3 2026	$820,000	$464,026	Deferred
Elevator modernization	Life Safety	04/19/26	Q2 2025	$795,000	$125,833	Approved
Fence replacement	Building	10/02/25	Q4 2026	$62,000	$59,444	Bidding
Signage / monument	Building	05/13/23	Q2 2025	$76,000	$22,223	In progress
Roof replacement - Bldg A	Interior	06/24/24	Q4 2026	$91,000	$95,088	In progress
Amenity renovation	Site	04/21/26	Q3 2026	$584,000	$262,810	Deferred
Fence replacement	Site	07/15/24	Q4 2027	$333,000	$49,188	In progress
Landscape / irrigation	Energy	02/19/25	Q3 2025	$752,000	$166,456	Deferred
Amenity renovation	Life Safety	05/14/23	Q1 2025	$768,000	$804,946	Deferred
HVAC replacement	Building	11/01/26	Q1 2027	$832,000	$353,742	Bidding
ADA compliance	Energy	02/16/23	Q3 2025	$606,000	$623,629	Deferred
Exterior paint	Energy	11/13/25	Q4 2026	$639,000	$656,405	Deferred
Fence replacement	Building	06/06/26	Q1 2027	$880,000	$280,512	Deferred
Pool resurfacing	Interior	10/26/26	Q3 2025	$327,000	$47,695	Approved
Storefront glazing	Interior	04/26/23	Q3 2027	$437,000	$403,927	Approved
LED lighting retrofit	Interior	08/08/26	Q1 2026	$529,000	$91,262	Bidding
Pool resurfacing	Site	02/15/25	Q2 2027	$323,000	$294,613	Bidding
Landscape / irrigation	Building	01/11/26	Q2 2025	$353,000	$172,010	Bidding
LED lighting retrofit	Life Safety	10/15/23	Q1 2026	$59,000	$13,137	Approved
Sewer line repair	Building	01/10/26	Q1 2026	$181,000	$124,400	Bidding
Fence replacement	Building	08/04/24	Q2 2027	$306,000	$12	In progress
Water heater replacement	Site	12/18/26	Q4 2026	$646,000	$665,624	Deferred
Parking lot resurfacing	Building	03/13/24	Q3 2025	$491,000	$437,810	Deferred
Elevator modernization	Interior	11/17/24	Q3 2025	$847,000	$434,791	Bidding
Unit interior upgrades	Site	02/09/23	Q2 2027	$557,000	$93,057	In progress
Roof replacement - Bldg D	Building	02/03/24	Q3 2025	$243,000	$225,348	Deferred
ADA compliance	Energy	01/15/26	Q2 2026	$146,000	$142,147	Deferred
LED lighting retrofit	Life Safety	11/01/23	Q3 2027	$407,000	$329,461	Deferred
LED lighting retrofit	Site	05/30/24	Q4 2027	$644,000	$327,831	In progress
Lobby renovation	Life Safety	06/07/23	Q4 2025	$481,000	$268,932	Deferred
Parking lot resurfacing	Interior	07/31/24	Q3 2026	$126,000	$110,827	Deferred
Roof replacement - Bldg A	Energy	12/13/26	Q4 2025	$208,000	$88,873	Complete
Unit interior upgrades	Interior	04/03/25	Q3 2025	$327,000	$49,373	Deferred
Security camera upgrade	Building	02/19/25	Q2 2026	$370,000	$195,846	Bidding
ADA compliance	Energy	03/09/25	Q3 2025	$867,000	$535,028	Deferred
ADA compliance	Life Safety	01/04/25	Q3 2025	$368,000	$276,559	Complete
ADA compliance	Life Safety	08/02/24	Q4 2027	$647,000	$646,181	Bidding
Fire alarm panel upgrade	Site	02/28/25	Q4 2027	$240,000	$147,908	Deferred

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Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $106,000. Elevators were last modernized 6 years ago and are operating without deficiency.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $300,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $244,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $292,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 12 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 11 months.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Projected levered IRR is 13.0% with an equity multiple of 1.41x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 6.9% annually with renewal retention above 94.1%.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $213,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 5 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Interior	05/24/25	Q3 2027	$739,000	$651,265	Bidding
ADA compliance	Energy	01/28/25	Q2 2025	$318,000	$71,294	In progress
Sewer line repair	Interior	04/27/25	Q4 2025	$614,000	$76,268	Bidding
Pool resurfacing	Building	07/08/26	Q3 2025	$679,000	$709,668	Approved
Unit interior upgrades	Energy	12/28/24	Q1 2025	$656,000	$352,416	In progress
Sewer line repair	Life Safety	12/19/23	Q3 2027	$703,000	$580,689	Bidding
Roof replacement - Bldg D	Interior	07/01/26	Q3 2027	$264,000	$152,710	In progress
Lobby renovation	Interior	07/10/26	Q2 2027	$607,000	$497,540	Bidding
Storefront glazing	Site	04/25/25	Q4 2026	$788,000	$773,682	Bidding
Signage / monument	Interior	08/17/23	Q2 2026	$174,000	$130,270	Approved
LED lighting retrofit	Site	01/11/23	Q3 2027	$548,000	$518,790	Approved
Door hardware	Building	06/02/23	Q1 2026	$230,000	$167,456	Deferred
HVAC replacement	Building	02/21/23	Q2 2027	$40,000	$21,188	In progress
Amenity renovation	Site	02/27/24	Q4 2026	$149,000	$43,692	Complete
Water heater replacement	Building	11/04/23	Q2 2027	$888,000	$766,397	In progress
Signage / monument	Energy	03/27/26	Q2 2026	$80,000	$48,083	Approved
Fence replacement	Life Safety	03/30/26	Q3 2025	$580,000	$339,808	In progress
Door hardware	Interior	11/12/24	Q1 2026	$660,000	$614,766	Approved
Roof replacement - Bldg B	Energy	10/26/25	Q2 2026	$247,000	$105,386	Deferred
Roof replacement - Bldg D	Energy	05/12/24	Q1 2026	$886,000	$41,343	Bidding
Roof replacement - Bldg D	Building	11/12/24	Q2 2025	$601,000	$574,677	Complete
Fire alarm panel upgrade	Site	02/23/26	Q2 2025	$681,000	$373,085	Approved
Fire alarm panel upgrade	Life Safety	11/02/26	Q3 2025	$285,000	$254,164	Deferred
Pool resurfacing	Interior	03/27/24	Q3 2027	$58,000	$35,080	Approved
Water heater replacement	Interior	11/14/25	Q4 2027	$870,000	$482,477	In progress
LED lighting retrofit	Interior	12/24/24	Q2 2025	$542,000	$454,239	Approved
Lobby renovation	Energy	11/15/25	Q2 2027	$274,000	$285,264	Bidding
Sewer line repair	Building	06/18/26	Q3 2025	$698,000	$483,176	Deferred
Unit interior upgrades	Building	02/13/24	Q4 2025	$696,000	$304,012	Approved
Landscape / irrigation	Interior	12/07/26	Q1 2026	$748,000	$60,467	Complete
Storefront glazing	Life Safety	04/05/26	Q3 2027	$673,000	$273,072	Approved
Fire alarm panel upgrade	Interior	06/15/24	Q2 2026	$530,000	$492,918	In progress
Amenity renovation	Energy	10/05/23	Q3 2026	$850,000	$863,889	Deferred
Landscape / irrigation	Interior	11/09/25	Q2 2027	$420,000	$296,089	Approved
ADA compliance	Energy	02/04/25	Q1 2025	$815,000	$21,054	Deferred
Landscape / irrigation	Site	02/07/24	Q2 2026	$282,000	$272,811	Complete
Door hardware	Energy	04/25/23	Q4 2025	$651,000	$575,417	Bidding
LED lighting retrofit	Building	12/13/25	Q1 2027	$380,000	$86,626	Approved
Fire alarm panel upgrade	Energy	12/15/25	Q3 2027	$409,000	$348,173	Approved
Unit interior upgrades	Site	04/11/23	Q2 2027	$261,000	$184,013	In progress
Roof replacement - Bldg A	Interior	06/01/25	Q4 2025	$172,000	$91,739	Complete
Door hardware	Site	01/24/26	Q3 2026	$239,000	$62,815	Complete

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Summary and Notes

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.61% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Average in-place rent is $2,350 per month against an average unit size of 1,023 square feet. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Debt service coverage ratio was 6.76x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Management Commentary

Resident turnover has averaged 11.9% annually with renewal retention above 93.9%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Resident turnover has averaged 6.8% annually with renewal retention above 90.9%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 30 hours.

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